

RTX Corporation

RTX | October 4, 2026

SELL

Fair value (12-mo horizon reference)	\$120.00
Current price (October 2, 2026 close)	\$184.68
Implied upside / downside	-35%
Verdict	SELL

Investment Thesis

RTX is priced as a clean aerospace compounder. It is not one — not yet. The company's three segments each carry a real business: Pratt & Whitney's geared turbofan (GTF) engine franchise, Collins Aerospace's avionics and interiors portfolio, and Raytheon's defense backlog. But the GTF powder-metal contamination issue has created a multi-year overhang of grounded aircraft, customer compensation, and cash costs that the current price treats as a footnote. It is the story.

Consider what the GTF problem actually entails: hundreds of aircraft requiring accelerated engine inspections and shop visits, airlines demanding compensation for grounded fleets, and Pratt absorbing costs that flow directly against free cash flow for years. Management has laid out a resolution timeline extending well into the decade, and every quarter of delay compounds the liability. Aerospace investors have seen this film before — fleet issues are never resolved as fast or as cheaply as the initial guidance suggests.

Meanwhile the defense leg, Raytheon, offers backlog but not margin comfort. Defense contracting is a cost-plus and fixed-price mix where program execution risk sits with the contractor; recent industry history is littered with charges on fixed-price development programs. Collins is the cleanest asset in the portfolio, but it cannot carry the valuation alone.

There is also a subtler risk the price ignores: the reputational dimension with airline customers. Fleet groundings strain the most valuable relationships in commercial aerospace — the airlines whose future engine orders determine Pratt's installed base for decades. Competitors are actively courting frustrated GTF operators with alternative engine options on future airframes. Every quarter of disruption is a quarter in which the next decade's market share is being negotiated, and RTX is negotiating from weakness.

At \$184.68, the market is capitalizing a fully recovered, issue-free RTX. Our probability-weighted fair value is \$120.00 — 35% lower — reflecting the GTF cash drain, defense execution risk, and a discount rate appropriate for a business whose signature program is in remediation. Until the overhang clears, the shares are a sale. SELL.

Business Overview

RTX Corporation, formed by the merger of Raytheon and United Technologies, operates three segments. Pratt & Whitney designs and manufactures aircraft engines, including the GTF engine family powering the Airbus A320neo. Collins Aerospace supplies avionics, interiors, and mission systems. Raytheon is one of the largest US defense contractors, producing missiles, air-defense systems including Patriot, and intelligence and space systems.

The commercial aerospace businesses earn their best margins in the aftermarket — spare parts and maintenance on installed engines and systems — which makes fleet health central to profitability. The defense business earns steadier but lower margins on long government contracts.

Forward Outlook

On defense, we are watchful rather than bearish on demand but cautious on profitability. The industry-wide shift toward fixed-price development contracts has transferred risk from governments to contractors, and recent years have produced multi-billion-dollar charges across the peer group. Raytheon's backlog is only as valuable as its execution; our base case assumes no major charges, but the base rate for large defense development programs counsels humility.

Our judgment is that the GTF remediation dominates the investment horizon. The physics of the problem — inspecting and reworking a large installed fleet while maintaining new-engine deliveries — dictates a multi-year timeline regardless of management's determination. We expect compensation costs and working-capital absorption to depress free cash flow through at least 2028, with meaningful risk that the tail extends further if inspection findings broaden.

The longer-term commercial outlook is genuinely attractive: global narrowbody fleets will fly for decades, and Pratt's installed base guarantees aftermarket annuities once the fleet is healthy. Defense demand is structurally supported by elevated geopolitical tension and replenishment needs. But both of these are 2030 stories being priced as 2026 stories.

The critical question for the next two years is whether additional charges emerge — from expanded inspection scope, from fixed-price defense programs, or from customer settlements above reserved amounts. Our base case assumes the reserved amounts prove roughly adequate; our bear case, which we weight seriously, assumes they do not. Either way, the path to the market's implied valuation requires a spotless execution record from a company currently managing its largest operational crisis.

Valuation

We value RTX on a 10-year scenario DCF at a 10% base discount rate. Our bear case assumes the GTF inspection scope widens, compensation and remediation costs exceed reserves materially, and a fixed-price defense program takes a significant charge — with free cash flow depressed for four or more years. The base case assumes remediation costs land near reserved amounts, the fleet returns to normal shop-visit cadence by the end of the decade, and defense executes without major charges. The bull case assumes faster-than-guided fleet recovery, no incremental charges, and defense margins expanding on favorable contract mix.

Probability-weighting the scenarios 25% / 50% / 25% produces a fair value of \$120.00, our target. The bear case sits far below the current price — appropriate for a business whose central program risk is both large and still being quantified.

Key Risks

- GTF remediation scope widening beyond current reserves, extending the cash drain.
- Airline customer compensation exceeding reserved amounts or triggering litigation.
- Fixed-price defense development programs generating charges on cost overruns.
- Commercial aerospace downturn reducing aftermarket flight hours and spare-parts demand.
- US defense budget pressure or program cancellations affecting Raytheon's backlog.
- Execution risk on the multi-year operational recovery across three segments.
- Market-share loss on future narrowbody engine competitions as airlines penalize GTF disruption.
- Pension and legacy-liability volatility affecting reported earnings.

What Would Change Our Mind

- GTF fleet shop-visit backlog clearing ahead of schedule with costs tracking below reserves for four consecutive quarters.
- Pratt & Whitney free cash flow inflecting positively with the remediation substantially complete.
- A major fixed-price defense program completing development without charges, de-risking the contracting model.
- The shares declining toward our target while remediation milestones are demonstrably met.
- Pratt winning a major new airframe engine competition — evidence customer relationships survived the GTF episode intact.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8–8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case. We value this business over a 10-year horizon at a 10% base discount rate.

Disclaimer

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